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MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-BBA (Honours) Regular/Improvement/Reappearance Examination, November 2025

First Semester

Core Course (CC) – MG1CCRBBA100 - Principles and Practices of Management

(2024 Admission Onwards)

Part A

Short Answer Questions
Answer any ***5*** Questions
Each Question carries ***3*** marks

1. **Name any three important characteristics of management.**

   Ans: The three important characteristics of management are as follows:

   - Goal-oriented process
   - Universal in nature
   - Continuous process

2. **Why is planning considered a primary function of management?**

   Ans: Planning is considered as a primary function of management because of the following reasons:

   - Foundation for all other functions
   - Future-oriented
   - Reduces risks and uncertainties

3. **Explain the purpose of implementing control systems within an organization.**

   Ans: The purpose of implementing control systems within an organization is as follows:

   - Ensures goal achievement
   - Identifies deviations
   - Takes corrective action

4. **Define strategic management.**

   Ans: Strategic management refers to the process through which an organization formulates, implements and evaluates long-term plans and strategies. It helps a company to align its resources and actions with its mission and external environment. Through this process, organizations aim to achieve their goals and maintain a sustainable competitive advantage.

5. **What is meant by organization structure?**

   Ans: Organization structure refers to the formal way in which an organization arranges its roles, responsibilities and authority. It defines how tasks are divided and how employees coordinate with one another. This structure also establishes clear communication channels to ensure smooth organizational functioning.

6. **What is meant by MBO?**

   Ans: MBO (Management by Objectives) is a management approach in which managers and employees jointly set measurable goals for a specific period. It helps employees to understand what is expected from them and aligns individual objectives with organizational goals. Through regular review and feedback, MBO improves performance and accountability.

7. **What are the various skills required by a manager?**

   Ans: The following are the various skills required by a manager:

   - Technical skills
   - Human/Interpersonal skills
   - Conceptual skills

8. **Distinguish between wide span of control and narrow span of control.**

   Ans: The following points distinguish a wide span of control from a narrow span of control.

Wide Span of Control	Narrow Span of Control
More subordinates under one manager	Fewer subordinates under one manager
Lower supervision, more autonomy	Higher supervision, less autonomy
Reduces cost	Costly due to more managers

[5×3 = 15 marks]

Part B

Short Essay Questions
Answer any ***3*** Questions
Each Question carries ***5*** marks

9. **What is decision-making? Why is it considered an important function in management?**

   Ans: Decision-making is a key managerial function. It is the process of selecting the best alternative from multiple options to achieve organizational goals. It is considered as an important function in management because of the following reasons:

   - Guides actions
   - Efficient resource allocation
   - Reduces uncertainty
   - Foundation of planning
   - Improves productivity and performance

10. Illustrate with example a real-world application of the control process and outcome.

Ans: An example for a real-world application of the control process can be seen in a manufacturing company's quality control. The following are the steps:

- Step 1 **Set standards**: Limit the defective products to less than 2% of total production.
- Step 2 **Measure performance**: Inspection shows 5% of products are defective.
- Step 3 **Compare**: Deviation of 3% from the standard.
- Step 4 **Corrective action**: Adjust production process and retrain workers.

Outcome: Maintains product quality, reduces waste and ensures customer satisfaction.

11. Briefly explain the selection process in an Indian organization.

Ans: The common steps followed in Indian organizations are as follows, although some steps may vary slightly depending on the company or sector.

a) Manpower Planning
b) Job Analysis & Advertisement
c) Application Screening
d) Written Tests
e) Interviews (HR + Technical)
f) Background Verification
g) Medical Examination
h) Final Appointment & Induction

12. What are the benefits of decision-making and assess the consequences of poor decision-making?

Ans: The following are the benefits of decision making and the consequences of poor decision making:

Benefits:

- Enhances efficiency
- Improves coordination
- Boosts employee morale
- Encourages innovation
- Ensures organizational growth

Consequences of Poor Decisions:

- Increased cost & wastage
- Low employee confidence
- Loss of opportunities
- Declining productivity
- Organizational failure

13. Explain the key areas of CSR.

Ans: The following are the key areas of CSR:

- Environmental sustainability – Pollution control, recycling, green energy.
- Community development – Education, healthcare, rural upliftment.
- Employee welfare – Safety, training, fair wages.
- Ethical business practices – Transparency, fair trade.
- Consumer protection – Safe, high-quality products.

14. Explain the importance of Hawthorne experiments in the human relations approach of management.

Ans: The importance of Hawthorne Experiments in the human relations approach of management is that:

- They highlighted the significance of human relations in improving employee productivity.
- They demonstrated that motivation depends on social and psychological factors, not just financial incentives.
- They introduced the role of informal groups and team dynamics in the workplace.
- They emphasized the importance of employee recognition and attention to worker needs.
- They contributed to the development of organizational behaviour as a formal area of study.

[3×5 = 15 marks]

Part C

Essay Questions
Answer any 2 Questions. One case study is compulsory.
Each Question carries 20 marks

15. Describe Henry Fayol's 14 principles of management and their relevance.

Ans: The following are the Henry Fayol's 14 principles of management:

a) Division of Work
b) Authority and Responsibility
c) Discipline
d) Unity of Command
e) Unity of Direction
f) Subordination of Individual Interest to General Interest
g) Remuneration
h) Centralization
i) Scalar Chain
j) Order
k) Equity
l) Stability of Tenure
m) Initiative
n) Esprit de Corps (Team Spirit)

Today's Relevance:

- Provides clear organizational guidelines for managers and employees.
- Ensures efficiency and coordination in organizational activities.
- Helps in designing modern organizational structures and workflows.
- Applicable in areas such as HR policies, leadership and communication.
- Principles are universal and adaptable to modern business environments.

16. Case Study – Tech Innovations Inc. is a mid-sized technology company specializing in software development. Over the past year, the sales team has struggled with low morale and declining sales figures. Management identified that the team lacked motivation, leading to decreased productivity and high turnover rates. Question 1: Identify the issues: What were the primary challenges faced by Tech Innovations Inc.'s sales team that led to low motivation? Question 2: Which motivational techniques implemented by management do you think had the greatest impact on improving morale? Why?

Ans: The following are the answers for Question 1 & 2:

Question 1: Primary challenges leading to low motivation

- Lack of recognition
- High workload & pressure
- Declining sales leading to insecurity
- Poor communication with management
- Limited career growth opportunities
- Low team spirit & job dissatisfaction

Question 2: Motivational techniques with greatest impact are:

- Performance incentives & rewards – boosts productivity.
- Employee recognition programs – improves morale.
- Training & development – builds confidence and skills.
- Participative management – employees feel valued.
- Team-building activities – increases collaboration.

Most impactful:

Recognition & Participation, because employees feel appreciated and involved, directly boosting morale and reducing turnover.

17. Enumerate the factors of SWOT analysis.

Ans: SWOT analysis is a tool used to evaluate an organization's internal and external environment. It helps in strategic planning by identifying key factors that affect performance. The factors are:

- **Strengths** – Strengths are the internal qualities or resources that helps the organization to do better than its competitors, such as skilled employees, a strong brand or efficient processes.
- **Weaknesses** – Weaknesses are the internal problems or areas where the organization is weak, like old technology, poor infrastructure or lack of skills.
- **Opportunities** – Opportunities are the external factors that the organization can use to its advantage, like new markets, new technology or changing customer needs.
- **Threats** – Threats are the external challenges or risks that can harm the organization, such as competition, economic slowdowns or new regulations.

18. Alpine Automobiles aims to produce and sell 2 lakh cars in 2024. To achieve this objective, the production department strives for timely production and the sales department takes all possible steps to sell them. Due to the combined effort of all the departments, the company is able to achieve its target. Which significant principle of management is highlighted in the given statement? Mention other points of importance of management.

Ans: The significant principle of management that is highlighted in the given statement is **Unity of Direction,** where all the departments have to work towards the **single objective** → producing and selling 2 lakh cars.

Other important principles:

- Division of Work
- Authority & Responsibility
- Unity of Command
- Subordination of Individual Interest to General Interest
- Discipline
- Coordination
- Esprit de Corps

[2×20 = 40 marks]

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